CHARTERED ACCOUNTANTS ACADEMY

APPLIED AUDITING AND GOVERNANCE DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 2 – CODE OF PROFESSIONAL CONDUCT

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1. Introduction

In your future career as a Chartered Accountant, you will face many situations where you will have to decide based on moral values, for example:

Am I going to report a client to the authorities for evading tax? The accounting and auditing profession's credibility and sustainability rests on its members' ability to act in an ethical manner and it is for this reason that there are various pronouncements that guide members in their way of thinking when it comes to the questions as described above.

A distinguishing mark of the accountancy profession is its acceptance of the responsibility to act in the public interest, which means that when accountants are providing professional services, they need to ensure that these are not being done in conflict to public interest.

2. Objectives of the Code of professional conduct

- Evaluating compliance with the Code of Conduct and the application of ethical judgment with regards to situations that may arise in the discharging of duties as professional accountants.
- Identifying and applying the following fundamental principles in audit situations: Integrity; objectivity; professional competence and due care; confidentiality and professional behavior.
- Applying the conceptual framework to respond to threats to fundamental principles
- Apply the provisions in Part 2 and Part 3 of the code to respond to various situations or circumstances that may pose a threat to compliance with fundamental principles.
- Understand and apply the independence standards requirements when providing assurance services

3. Scope

- ICAZ Code of professional conduct

4. Study material

CAA Applied Auditing and Governance Module 1 (AUD 402)

ICAZ/SAICA Code of Professional Conduct

We recommend that you study the CPC directly from the SAICA Handbook as this is the book that you may take into the venue with you when writing the test and/or exam, as per the Open Book Policy.

5. Competence Framework expectation

IV-2 Provides assurance services

IV-2.1 Identifies and considers issues related to accepting an engagement

Level I

- Gathers and examines information pertaining to a potential client and engagement to assess whether or not there are significant threats to the adherence to ethical requirements and professional standards and legislation resulting from undertaking the engagement
- Utilises the understanding gained of the elements of risk and the decision factors to evaluate the overall risk in accepting the engagement
- Concludes on whether to accept the engagement

6. Examination possibilities

- Practical scenarios of ethical dilemmas where you will be required to evaluate threats to fundamental principles and apply safeguards.
- Required to link case material to ethical knowledge and theory
- Requirement to identify concerns in terms of the Code of professional conduct.
- Identify a matter which is non-compliance with laws and regulations (NOCLAR) and apply the relevant steps in reporting NOCLAR for a CA in business or a CA in public practice

7. Assumed Knowledge

- The need for auditors to comply with ethics
- The fundamental principles
- The need for an auditor to be independent

8. Integration

- Pre-engagement activities
- Quality control and audit documentation
- Corporate governance

9. Course Notes

9.1 Background

The Institute of Chartered Accountants of Zimbabwe (ICAZ) and the Public Accountants and Auditors Board (PAAB) in Zimbabwe have adopted the International Federation of Accountants' (IFAC) Code. The Codes are based on the Code of Ethics for Professional Accountants (Including international independence standards) as issued by the International Ethics Standard Board of Accountants (the —IESBA Code).

A distinguishing mark of the accountancy profession is its acceptance of the responsibility to act in the public interest as inculcated in the code of professional conduct. Undoubtedly the most important quality and prerequisite for members of the profession is the highest standard of professional ethics. Intellectual and practical competency is important of course but the trust and reputation of the profession in the mind of the public can easily be eroded by a lack of professional ethics.

Please note that reading these study notes is not a substitute for you as a student to also read directly from the Code of Professional Conduct for further details and understanding.

9.2 Structure of the Code

The Code contains the following material:

Part 1 – Complying with the Code, Fundamental Principles and Conceptual Framework, which includes the fundamental principles and the conceptual framework and is applicable to all professional accountants.

Part 2 – Professional Accountants in Business, which sets out additional material that applies to professional accountants in business when performing professional activities. Professional accountants in business include professional accountants employed, engaged or contracted in an executive or non-executive capacity in, for example:

- Commerce, industry or service.
- The public sector.
- Education.
- The not-for-profit sector.
- Regulatory or professional bodies.

Part 2 is also applicable to individuals who are professional accountants in public practice when performing professional activities pursuant to their relationship with the firm, whether as a contractor, employee or owner

.

Part 3 – Professional Accountants in Public Practice, which sets out additional material that applies to professional accountants in public practice when providing professional services.

Part 4 - International Independence Standards, which sets out additional material that applies to professional accountants in public practice when providing assurance services, as follows:

Part 4A – Independence for Audit and Review Engagements, which applies when performing audit or review engagements.

Part 4B – Independence for Assurance Engagements Other than Audit and Review Engagements, which applies when performing assurance engagements that are not audit or review engagements.

Glossary, which contains defined terms (together with additional explanations where appropriate) and described terms which have a specific meaning in certain parts of the Code.
For example, as noted in the Glossary, in Part 4A, the term "audit engagement" applies equally to both audit and review engagements. The Glossary also includes a list of abbreviations that are used in the Code and other standards to which the Code refers.

The Code contains sections which address specific topics. Some sections contain subsections dealing with specific aspects of those topics. Each section of the Code is structured, where appropriate, as follows:

- **Introduction** – sets out the subject matter addressed within the section and introduces the requirements and application material in the context of the conceptual framework. Introductory material contains information, including an explanation of terms used, which is important to the understanding and application of each Part and its sections.

- **Requirements** – establish general and specific obligations with respect to the subject matter addressed.

- **Application material** –provides context, explanations, suggestions for actions or matters to consider, illustrations and other guidance to assist in complying with the requirements

9.3 Overview of the Code

PART 1

COMPLYING WITH THE CODE, FUNDAMENTAL PRINCIPLES AND CONCEPTUAL FRAMEWORK

(ALL PROFESSIONAL ACCOUNTANTS - SECTIONS 100 TO 120)

PART 2

PROFESSIONAL ACCOUNTANTS IN BUSINESS

(Section 200 to 270)

(PART 2 IS ALSO APLICABLE TO INDIVIDUAL PROFESSIONAL ACCOUNTANTS IN PUBLIC PRACTICE WHEN PERFORMING PROFESSIONAL ACTIVITIES PURSUANT TO THEIR RELATIONSHIP WITH)

PART 3

PROFESSIONAL ACCOUNTANT IN PUBLIC PRACTICE

(Sections 300 to 360)

INTERNATIONAL INDEPENDENCE STANDARDS

(PARTS 4A AND 4B)

PART 4A - INDEPENDENCE FOR AUDIT AND REVIEW ENGAGEMENTS

(SECTIONS 400 TO 800)

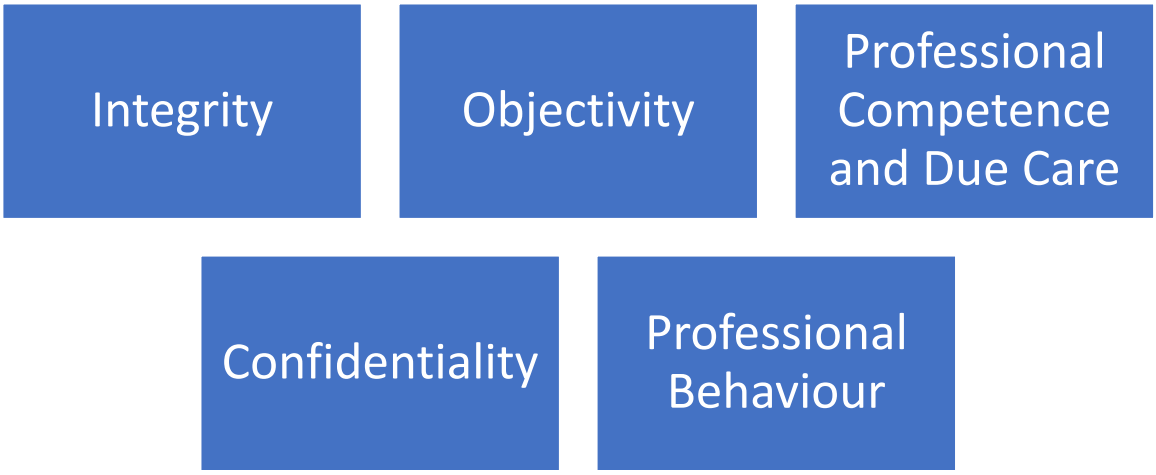
PART 4B - INDEPENDENCE FOR ASSURANCE ENGAGEMENTS OTHER THAN AUDIT AND REVIEW ENGAGEMENTS (SECTIONS 900 TO 990)

9.4 PART 1 - COMPLYING WITH THE CODE, FUNDAMENTAL PRINCIPLES AND CONCEPTUAL FRAMEWORK

9.4.1 Section 100 – Complying with the Code

A distinguishing mark of the accountancy profession is its acceptance of the responsibility to act in the public interest as inculcated in the code of professional conduct. Part 1 of the code establishes the fundamental principles of professional ethics for chartered accountants and provides a conceptual framework that chartered accountants shall apply.

110.1 A1 – Fundamental Principles



Integrity - 111

Requirement	**To be straightforward and honest in all professional and business relationships.**
What's the implication to a chartered accountant?	CA should: • Be truthful and fair in all dealings; • Not be associated with falsified/misleading information;

Objectivity – 112

Requirement	**Not to compromise professional or business judgments because of bias, conflict of interest or undue influence of others.**
What's the implication to a chartered accountant?	A CA should not undertake a professional activity if there are circumstances they may unduly influence them in performing that work.

Professional Competence and Due Care – 113

Requirement	**Attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization receives competent professional service, based on current technical and professional standards and relevant legislation; and** **Act diligently and in accordance with applicable technical and professional standards.**
What's the implication to a chartered accountant?	The CA is expected to: • Maintain professional competence through continuous professional development; • Take reasonable steps to ensure that those working in a professional capacity under the accountant's authority have appropriate training and supervision;

Confidentiality – 114

Requirement	**To respect the confidentiality of information acquired as a result of professional and business relationships.**
What's the implication to a chartered accountant?	• Maintain the confidentiality of client or employer information and not use it for personal gain or for the gain of a 3rd party; • May be required to disclose confidential information in the following circumstances: ○ Disclosure is required by law; ○ Disclosure is permitted by law and is authorized by client or employer; ○ When there is a professional duty to disclose; • To keep information confidential even after termination of employment contract or client relationship.

Professional Behaviour – 115

Requirement.	**To comply with relevant laws and regulations and avoid any conduct that the chartered accountant knows or should know might discredit the profession.**
What's the implication to a chartered accountant?	In marketing professional services-chartered accountants should not make: • Exaggerated claims for the services offered by, or the qualifications or experience of, the accountant; • Disparaging references or unsubstantiated comparisons to the work of others.

10. The conceptual framework – 120

In providing their professional services-chartered accountants often encounter situations or circumstances **(threats)** that may affect their ability to comply with the ethical requirements as inculcated in the fundamental principles. Sect 120 of the CPC provides a framework which provides guidance on how the chartered accountant should respond to these circumstances or situations.

The conceptual framework specifies an approach for a professional accountant to:

a) Identify threats to compliance with the fundamental principles;
b) Evaluate the threats identified; and
c) Address the threats by eliminating or reducing them to an acceptable level.



10.1. Categories and identification of threats – 120.6

Self Interest

Self Review

Familiarity

Advocacy

Intimidation

Threats to fundamental principles
Self – interest threat – the threat that a financial or other interest will inappropriately influence the chartered accountant's judgement or behaviour. **Examples:** a. Financial interest in a client's affairs e.g., owning shares. b. Dependency on total fees earned from one client. c. A close business relationship with a client. d. A professional accountant accepting gifts or preferential treatment from a client, unless the value is trivial or inconsequential. e. Contingent fee arrangement relating to assurance engagement
Self-review threat – the threat that a chartered accountant will not appropriately evaluate the results of a previous judgement made or services performed by the chartered accountant. **Examples:** a. Auditing financial statements prepared by the firm. b. Preparing data which is subsequently the subject of an assurance engagement. c. Member of engagement team is an ex-director or employee of the client
Advocacy threat – the threat that a chartered accountant will promote a client's position to the point that the chartered accountant objectivity is compromised. **Examples:** a. Firm promoting shares in an audit client b. A professional accountant acting as an advocate on behalf of an audit client in litigation or disputes with third parties.
Familiarity threat- The threat that due to a long or close relationship with a client, a CA will be too sympathetic to their interests or too accepting of their work **Examples:** a. A member of the engagement team having a close or immediate family member who is a director or officer of the client. b. A member of the engagement team having a close or immediate family member who is an employee of the client who is in a position to exert significant influence over the subject matter of the engagement. **c.** A professional accountant accepting gifts or preferential treatment from a client, unless the value is trivial or inconsequential.
Intimidation threat – the threat that a CA will be deterred from acting objectively because of actual or perceived pressures, including attempts to exercise undue influence over the CA **Examples:** a. A firm being threatened with dismissal from a client engagement.

b. An audit client indicating that it will not award a planned non-assurance contract to the firm if the firm continues to disagree with the client's accounting treatment for a transaction.
c. A firm being threatened with litigation by the client.

It is key to note that a circumstance might create more than one threat, and a threat might affect compliance with more than one fundamental principle.

10.2. Evaluating threats

When a chartered accountant has identified a threat to compliance with the fundamental principles, the CA should evaluate whether that threat is at anacceptable level.

What is Acceptable level?	**Is a level at which a CA using the reasonable and informed party third party test concludes that the threat will not affect compliance with fundamental principles.**
What does CA do if threat is at an acceptable level?	No further action required but need to continuously assess for any new information which may have affected assessment of acceptable level.
What does the CA do if threat is not at an acceptable level?	The CA should **either eliminate or reduce** the threat to an acceptable level by: • Eliminating the circumstances, including interests or relationships, that are creating the threats; • Applying safeguards, where available and capable of being applied, to reduce the threats to an acceptable level; or • Declining or ending the specific professional activity.
What is a safeguard?	These are actions that can be taken by a CA to effectively reduce the effects of threats to acceptable levels.

11. PART 2 - PROFESSIONAL ACCOUNTANTS IN BUSINESS (PA's)

11.1. 200 Applying the conceptual framework – professional accountants in business

Investors, creditors, employing organizations and other sectors of the business community, as well as governments and the general public, might rely on the work of professional accountants in business. PA's in business might be solely or jointly responsible for the preparation and reporting of financial and other information, on which both their employing organizations and third parties might rely. They might also be responsible for providing effective financial management and competent advice on a variety of business-related matters. A PA in business might be an employee, contractor, partner, director (executive or non-executive), owner - manager or volunteer of an employing organization. The legal form of the relationship of the accountant with the employing organization has no bearing on the ethical responsibilities placed on the accountant.

The more senior the position of the PA the greater will be the ability and opportunity to access information, and to influence policies, decisions made, and actions taken by others involved with the employing organization. To the extent that they are able to do so, taking into account their position and seniority in the organization, accountants are expected to encourage and promote an ethics-based culture in the organization. Examples of actions that might be taken include the introduction, implementation and oversight of:

Ethics education and training programs

Ethics and whistle blowing policies

Policies and procedures designed to prevent non-compliance with laws and regulations

11.2. Threats that may arise within the context of CA in business – 200.6A1

Category of threat	Examples
Self-interest threat	• A chartered accountant holding a financial interest in, or receiving a loan or guarantee from, the employing organization. • A chartered accountant participating in incentive compensation arrangements offered by the employing organization e.g. profit based bonuses. • A chartered accountant having access to corporate assets for personal use e.g. company allocated motor vehicle. • A chartered accountant being offered a gift or special treatment from a supplier of the employing organization.
Self-review Threats	• A chartered accountant determining the appropriate accounting treatment for a business combination after performing the feasibility study supporting the purchase decision.
Advocacy Threats	• A chartered accountant having the opportunity to manipulate information in a prospectus in order to obtain favorable financing.
Familiarity Threats	• A chartered accountant being responsible for the financial reporting of the employing organization when an immediate or close family member employed by the organization makes decisions that affect the financial reporting of the organization. • A chartered accountant having a long association with individuals influencing business decisions.
Intimidation Threats	• A chartered accountant or immediate or close family member facing the threat of dismissal or replacement over a disagreement about: ○ The application of an accounting principle. ○ The way in which financial information is to be reported. • An individual attempting to influence the decision-making process of the chartered accountant, for example with regard to the awarding of contracts or the application of an accounting principle.

11.3. Conflicts of interest - 210

A conflict of interest creates threats to compliance with the principle of objectivity and might create threats to compliance with the other fundamental principles. Such threats might be created when:

a) A CA undertakes a professional activity related to a particular matter for two or more parties whose interests with respect to that matter are in conflict or
b) The interest of a CA with respect to a particular matter and the interests of a party for whom the accountant undertakes a professional activity related to the matter are in conflict.

A CA shall not allow a conflict of interest to compromise professional or business judgement

Examples of circumstances that might create a conflict of interest include:

a) Serving in a management or governance position (e.g. being a board member for two competing companies) for two employing organizations and acquiring confidential information from one organisation that may be used by the professional accountant to the advantage or disadvantage of the other organisation
b) Undertaking a professional activity for each of two parties in a partnership, where both parties are employing the chartered accountant to assist them to dissolve their partnership
c) Preparing financial information for certain members of management of the chartered accountant's employing organization who are seeking to undertake a management buyout
d) Being responsible for selecting a vendor for the employing organisation when an immediate family member of the chartered accountant might benefit financially from the transaction
e) Serving in a governance capacity in an employing organization that is approving certain investments for the company where one of those investment will increase the value of the investment portfolio of the chartered accountant or an immediate family member.

11.4. 220 Preparation and presentation of information

Chartered accountants at all levels in an employing organisation are involved in the preparation or presentation of information both within and outside the organization.

Stakeholders to whom, or for whom, such information is prepared or presented, include:

- Management and those charged with governance
- Investors and lenders or other creditors
- Regulatory bodies

This information might assist stakeholders in understanding and evaluating aspects of the employing organization's state of affairs and in making decisions concerning the organization. Refer to Section 220.3.A2 for examples of financial and non-financial information

When preparing or presenting information, a CA shall:

a) Prepare or present the information in accordance with a relevant reporting framework, where applicable;
b) Prepare or present the information in a manner that is intended neither to mislead nor to influence contractual or regulatory outcomes inappropriately;
c) Exercise professional judgement to:
    - Represent the facts accurately and completely in all material respects
    - Describe clearly the true nature of business transactions or activities; and
    - Classify and record information in a timely and proper manner; and
d) Not omit anything with the intention of rendering the information misleading or of influencing contractual or regulatory outcomes inappropriately.

Relying on the work of others – refer to section R220.7, 220.7 A

11.5. Addressing information that is or might be misleading

When the CA knows or has reason to believe that the information with which the chartered accountant is associated is misleading, the chartered accountant shall take appropriate actions to seek to resolve the matter, which may include:

- Take steps to have the matters corrected;
- If incorrect information had already been shared, take steps to inform those stakeholders of the correct information;
- If not corrected, consider seeking legal advice or consulting with ICAZ;
- If not corrected, consider taking actions to disassociate yourself from that incorrect information.

Refer to Section **220.8. A1 – A2** for appropriate actions in the circumstances

11.6. Documentation

The PA is encouraged to document:

- The facts
- The accounting principles or other relevant professional standards involved
- The communications and parties with whom the matter was discussed
- The courses of action considered.
- How the accountant attempted to address the matter (s)

11.7. Acting with sufficient expertise - 230

Acting without sufficient expertise creates a self-interest threat to compliance with the principle of professional competence and due care.

A self-interest threat to compliance with the principle of professional competence and due care might be created if a CA has:

- Insufficient time for performing or completing the relevant duties.
- Incomplete, restricted or otherwise inadequate information for performing the duties
- Insufficient training and/or education.
- Inadequate resources for the performance of the duties

Examples of actions that might be safeguards to address such a self-interest threat include:

- Obtaining assistance or training from someone with the necessary expertise
- Ensuring that there is adequate time available for performing the relevant duties

If a threat to compliance with the principle of professional competence and due care cannot be addressed, a CA shall determine whether to decline to perform the duties in question. If the accountant determines that declining is appropriate, the accountant shall communicate the reasons.

11.8. Financial interests, compensation and incentives linked to financial reporting and decision making - 240

Having a financial interest or knowing of a financial interest held by an immediate or close family member might create a self-interest threat to compliance with the principles of objectivity or confidentiality.

A CA shall not manipulate information or use confidential information for personal gain or for the financial gain of others.

Examples of circumstances that might create a self-interest threat include situations in which the CA or an immediate or close family member:

- Has a motive and opportunity to manipulate price-sensitive information in order to gain financially.
- Holds a direct or indirect financial interest in the employing organization and the value of that financial interest might be directly affected by decisions made by the chartered accountant.
- Is eligible for a profit-related bonus and the value of that bonus might be directly affected by decisions made by the accountant.
- Holds directly or indirectly deferred bonus share rights or share options in the employing organization, the value of which might be affected by decisions made by the chartered accountant.

- Participates in compensation arrangements which provide incentives to achieve targets or to support efforts to maximise the value of the employing organization's shares, for example participation in incentive plans which are linked to certain performance conditions being met.

Factors that are relevant in evaluating the level of such a threat include:

- The significance of the financial interest. What constitutes a significant financial interest will depend on personal circumstances and the materiality of the financial interest to the individual.
- Policies and procedures for a committee independent of management to determine the level or form of senior management remuneration
- In accordance with any internal policies, disclosure to those charged with governance of all relevant interests and any plans to exercise entitlements or trade in relevant shares.

11.9. Inducements, including gifts and hospitality – 250

Offering or accepting inducements might create a self-interest, familiarity or intimidation threat to compliance with the fundamental principles, particularly the principles of integrity, objectivity and professional behaviour.

Forms of inducements:

- Gifts.
- Hospitality.
- Entertainment.
- Political or charitable donations.
- Appeals to friendship and loyalty.
- Employment or other commercial opportunities.
- Preferential treatment, rights or privileges.

Refer to section **250.9 A3** for factors to consider when evaluating whether an inducement has been given to improperly influence the decisions, behaviour or judgement of a CA:

What actions should a CA take when an inducement creates a threat to compliance with fundamental principles **(refer to 250.11 A5 & A6):**

- Decline the offer;
- Recuse yourself from the matter that may require your input;
- Being transparent with senior management on the inducement offered;
- Keeping a log of inducement received;
- Reimbursing the cost of the inducement, such as hospitality, received.

11.10. Responding to non-compliance with laws and regulations – 260

The provisions on Non-Compliance with Laws and Regulations (NOCLAR) establish a comprehensive response framework that guides the CA in terms of the factors to consider and the steps to be taken when he/she becomes aware of NOCLAR or suspected NOCLAR.

11.10.1.1. Categories of Chartered Accountants in Business

Senior Professional Accountant in Business (Senior PAIB) (260.11.A1) - are directors, officers or senior employees able to exert significant influence over, and make decisions regarding, the acquisition, deployment and control of the employing organization's human, financial, technological, physical and intangible resources. E.g. CEO, CFO, FD

Other PAIB – A professional accountant in business other than a Senior PAIB

What is NOCLAR? – 260.5 A1

Comprises acts of omission or commission, intentional or unintentional, which are contrary to the prevailing **laws or regulations** committed by the following parties:

a) The chartered accountant's employing organization;
b) Those charged with governance of the employing organization;
c) Management of the employing organization; or
d) Other individuals working for or under the direction of the employing organization.

To which laws and regulations does NOCLAR requirements apply? – 260.5 A2

Examples of laws and regulations which this section addresses include those that deal with:

- Fraud, corruption and bribery.
- Money laundering, terrorist financing and proceeds of crime.
- Securities markets and trading.
- Banking and other financial products and services.
- Data protection.
- Tax and pension liabilities and payments.
- Environmental protection.
- Public health and safety.

Scope of laws and regulations in terms of section 260

A PA is expected to recognise NOCLAR within the context of his/her knowledge as a PA **based on his/her training and experience**, and areas about which the PA possesses knowledge in a particular field. PAs have no additional responsibility to detect NOCLAR at their employing organisations.

It is key to note that professional accountants are not required to have specialised legal knowledge and skills, but only to have a level of knowledge of laws and regulations necessary to carry out his/her employment duties.

A PA might **encounter or be made aware** of non-compliance with laws and regulations or suspected non-compliance in the course of carrying out professional activities. This section guides the chartered accountant in assessing the implications of the matter and the possible courses of action when responding to non-compliance/suspected non-compliance with:

a) Laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the employing organization's financial statements: and
b) Other laws and regulations that do not have a direct effect on the determination of the amounts and disclosures in the employing organization's financial statements, but compliance with which might be fundamental to the operating aspects of the employing organisation's business, or to avoid material penalties.

A PA may encounter or be made aware of NOCLAR!

- "May encounter"; i.e. come upon unexpectedly; while carrying out professional activities for an employing organisation.
- "Be made aware of"; i.e. another party may bring the matter to the PA's attention

11.11. What are the NOCLAR requirements?

The PA has to comply with the law and should not take any action that is contrary to the law or prohibited by law or regulation when responding to NOCLAR. In particular, any action in terms of section 260 (as applicable) would be precluded if doing so would be contrary to law or regulation. For example, if there is law which requires the matter to be reported to an appropriate authority the PA should take steps to comply with that reporting obligation.

In addition to complying with laws and regulations when responding to NOCLAR, the PAIB is also required to consider the effect of the following in the circumstances and comply with related requirements:

- Internal protocols and procedures established by the employing organisation regarding how NOCLAR or suspected NOCLAR by the employing organisation should be raised internally (e.g. an ethics policy or internal whistle-blowing mechanism).

The PAIB alerts management or, where appropriate, TCWG of the employing organisation to seek to enable them to rectify, remediate or mitigate the consequences of the identified or suspected NOCLAR, or to deter the commission of the NOCLAR where it has not yet occurred.

11.12. Steps to take when PA becomes aware of suspected or actual NOCLAR

	Senior PAIB	Other PAIB
Step 1: Becomes aware of NOCLAR or suspected NOCLAR (**260.11.A1)**	First and foremost, the PAIB must always comply with applicable laws and regulations, including those that impose a positive reporting obligation regarding NOCLAR, as well as those that may preclude reporting or prohibit the disclosure of confidential information.	
	Senior PAIBs, being part of those within an organisation that can exert significant influence over or take decisions regarding the employing organisation's resources, have a responsibility to ensure that the organisation's activities are conducted in accordance with laws and regulations and, as applicable, exercise oversight in this regard.	Other PAIBs, to the extent applicable to their role and function within the employing organisation, are required to comply with laws and regulations and thereby contribute to the organisation's overall compliance. They are also required to account to their superiors in this regard.
Step 2: Obtain an understanding of the matter **– 260.12**	**Shall** obtain an understanding of the matter by understanding the: • Nature of the non-compliance; • Circumstances in which it has occurred; • Potential consequences of the NOCLAR for the employing organisation, investors, creditors, employees or the general public Apply knowledge, professional judgement and expertise; Might also decide to consult on a confidential basis with others	**Shall seek to** obtain an understanding by understanding the: • Nature of the non-compliance; • Circumstances in which it has occurred; • Potential consequences of the NOCLAR for the employing organisation, investors, creditors, employees or the general public Apply knowledge, professional judgement and expertise; May decide to consult on a confidential basis with others within the employing organisation or a professional body or with legal counsel.

	Senior PAIB	Other PAIB
	within the employing organisation or a professional body or with legal counsel.	**"seek to obtain"** implies a lower level in terms of the extent of effort, compared to what is expected of a senior PAIB.
Step 3: Discuss the matter **– 260.13**	• discuss the matter with the PA's immediate superior (if any); • The discussion serves to clarify the senior PAIB's understanding about the matter and to enable a determination to be made about how the matter should be addressed; • Discusses the matter with the next higher level of authority within the employing organisation, if the immediate superior appears to be involved in the matter; and • Takes appropriate steps to: ○ Have the matter communicated to TCWG to obtain their concurrence regarding appropriate actions to take to respond to the matter and to enable them to fulfil their responsibilities; ○ Comply with applicable laws and regulations, including provisions governing the reporting of NOCLAR to an appropriate authority; ○ Have the consequences of the NOCLAR rectified, remediated or mitigated; ○ Reduce the risk of re-occurrence; and	• inform an immediate superior to enable the superior to take appropriate action. • The other PAIB is only required to inform an immediate superior to enable that superior to take appropriate action. • Inform the next higher level of authority within the employing organisation, if the PA's immediate superior appears to be involved in the matter.

	Senior PAIB	Other PAIB
	○ Seek to deter the commission of the NOCLAR if it has not yet occurred. • If the employing organisation's financial statements are subject to an audit, the senior PAIB shall determine whether disclosure of the matter to the external auditor is needed pursuant to his/her duty or legal obligation to provide all information necessary to enable the auditor to perform the audit.	
Step 4: Determine whether further action is needed – **260.16**	Assess whether further action is needed in the public interest by considering the following: • The appropriateness of the response of the PA's superiors (if any) and TCWG; • Matters that characterise the nature, cause, circumstances and extent of the NOCLAR; • Take into account how a reasonable and informed third party would likely evaluate the NOCLAR and the PA's determination of the need for, and nature and extent of, further action. After above assessment, reach a conclusion: • No further action is required. • Further action is required in the public interest. Proceed to step 5 and step 6 below.	The other PAIB has no specific responsibility to determine whether further action is needed.
Step 5: If applicable, decide on further action – **260.18**	Consider whether to: • Resign from the employing organisation.	The other PAIB has no specific responsibility to determine whether further action is needed.

	Senior PAIB	Other PAIB
	• Disclose the matter to an appropriate authority even when there is no legal or regulatory requirement to do so. • Inform the management of the parent entity of the matter if the employing organisation is a member of a group.	
Step 6: Documentation – **260.23**	Senior PAIB is **encouraged** to have the following matters documented: • The matter • The results of discussions with the PA's superiors, if any, and TCWG and other parties • How the PA's superiors, if any, and TCWG have responded to the matter • The courses of action the senior PAIB considered, the judgements made and the decisions that were taken • How the senior PAIB is satisfied that he/she has fulfilled the responsibility set out in paragraph 260.17; i.e. has appropriately determined, in light of the response of the PA's superiors, If any, and TCWG, whether further action is needed in the public interest.	The other PAIB is **encouraged** to have the following matters documented: • The matter • The results of discussions with the PA's superior, management and, where applicable, TCWG and other parties • How the PA's superior has responded to the matter • The courses of action the PAIB considered, the judgements made and the decisions that were taken.

11.13. Pressure to breach the fundamental principles - 270

A PA might face pressure that creates threats to compliance with the fundamental principles, for example intimidation threat when undertaking a professional activity. Pressure might be explicit or implicit and might come from:

- Within the employing organization, from a colleague or superior
- An external individual or organization such as a vendor, customer or lender
- Internal or external targets and expectations

Examples of pressure that might result in threats to compliance with the fundamental principles include:

- Pressure related to conflict of interest:
- Pressure from a family member bidding to act as a vendor to the PA's employing organization to select the family member over another prospective vendor.
  See also Section 210, Conflict of interest
- Pressure to influence preparation or presentation of information:
- Pressure to report misleading financial results to meet investor, analyst or lender expectations
- Pressure from superiors to approve or process expenditures that are not legitimate business expenses
- Pressure to suppress internal audit reports containing adverse findings
- Pressure related to financial interests: see also Section 240, Financial Interests, Compensation and Incentives Linked to Financial Reporting and Decision Making
- Pressure related to inducements, see also Section 250 Inducements, Including Gifts and Hospitality
- Pressure from non-compliance with laws and regulations See also section 260
- Pressure from colleagues to misstate income, expenditure or rates of return to bias decision-making on capital projects and acquisitions

An example of an action that might eliminate threats created by pressure is the PA's request for a restructure of, segregation of certain responsibilities and duties so that the chartered accountant is no longer involved with the individual or entity exerting the pressure.

11.14. Documentation

The PA is encouraged to document:

- The facts
- The communications and parties with whom these matters are discussed
- The courses of action considered

- How the matter was addressed

12. PART 3 – PROFESSIONAL ACCOUNTANT IN PUBLIC PRACTICE

Part 3 of the Code set outs requirements and application material for Professional Accountants in public practice. Examples of professional accountants in public practice include Auditors, tax practitioners and those providing accounting services.

12.1. Conflicts of interest para 310.4A - 310

- As highlighted in the previous section a CA may be faced with a conflict of interest when performing professional services, which may then create threats to compliance with the fundamental principles.
- **Examples of situations which may give rise to conflicts of interest include (par 310.4A1):**
  - Providing transaction advisory service to a client seeking to acquire an audit client of the firm, where the firm has obtained confidential information during the course of the audit that may be relevant to the transaction;
  - Advising two clients at the same time who are competing to acquire the same company;
  - Advising a client to invest in a business in which, for example, the spouse of the CA in public practice has financial interest.

Refer to par 310.4A1 for further examples of situations which can give rise to conflicts of interest.





- **Example of safeguards where there is a conflict of interest.**
  - Use of separate engagement teams (Chinese walls)
  - Procedures and policies to prevent access to information
  - Use of confidentiality agreements
  - Separation of confidential information physically and electronically.
  - Specific and dedicated training and communication.
  - Having an appropriate reviewer who is not part of team providing the service

Make sure you read the following sections directly from the CPC:

- **Conflict identification – R310.5 to R310.7A1**
- **Threats created by conflict of interest – para 310.8A1 to 310.8 A3**
- **Disclosure and consent – para 310.9 to R310.10**
- **Confidentiality – para R310.11 to R310.12A1**
- **Documentation – para 310.13**

12.2. Professional appointments (Section 320)

Client and Engagement Acceptance – para 320.3 A1 to 320.3 A5

- Before accepting a new client, a CA shall determine whether acceptance would create any threats to compliance with the fundamental principles. Consider if there is a threat to the fundamental principles.
- **For example:**
  - Is client involved in illegal activities?
  - Would we want to be associated with the client?
- **Apply safeguards:**
  - Obtain understanding of client.
  - Consider declining acceptance if threat cannot be reduced.

12.3. Engagement Acceptance – para 320.3 A1 to 320.3 A5

- When accepting a specific client engagement, a CA shall determine whether acceptance would create threat to compliance with the fundamental principles, for e.g. as self-interest threat to professional competence and due care is created if the engagement team does not possess, or cannot acquire, the competencies necessary to properly carry out the engagement. Consider if you are competent to perform the engagement- (potential threat to the principle of professional competence and due care).
- **For example:**
  - Do we have the required capabilities, time and resources?
  - Are we not aware of latest developments?
- **Safeguards:**
  - Obtain understanding of clients' business
  - Agree on a realistic time frame for the engagement.
  - Using experts where necessary.

12.4. Changes in professional appointment – par R320.4 – 320.8

- A chartered accountant who is asked to **replace another CA**, shall determine whether there are any reasons, professional or otherwise, for not accepting the engagement, such as circumstances that create threats to fundamental principles that cannot be eliminated or reduced to an acceptable level by the applications of safeguards.
- **Safeguards to address potential threats may include:**
  - Obtain client's permission (preferably in writing) to speak with previous auditor
  - Communicate with previous auditors to obtain information about the prospective client.
  - Discuss any reasons for not accepting the client
  - If permission not given, consider declining acceptance of client.

12.5. Client and Engagement Continuance – R320.9

For existing client relationships, a CA should continuously evaluate whether there is new information which points towards existence of threats to compliance with fundamental principles.

12.6. Second opinions – para 321.1 to R321.4

- If a CA is asked to provide a second opinion by or on behalf of a company or entity that is not an existing client, this may give rise to threats to compliance with the fundamental principles. For example, there may be threats to professional competence and due care where the second opinion is not based on the same set of facts that were made available to the existing chartered accountant or is based on inadequate evidence.
- **Examples of safeguards that can be applied include:**
  - Seeking client's permission to contact existing chartered accountant.
  - Ensuring client is aware of the limitations of a second opinion.
  - Providing the existing or predecessor chartered accountant with a copy of the opinion.

12.7. Fees and other types of remuneration – para 330.1 to 330.3

- CA may quote whatever fee is deemed appropriate and the fact that one CA may quote a lower fee than another is not in itself unethical. However, there may be threats to compliance with fundamental principles arising from the level of fees charged. For example, a self- interest threat to professional competence and due care is created if the fee charged is so low that it may be difficult to perform the engagement in accordance with the applicable technical and professional standards for that price.
- **Fees should be a fair reflection of the professional services being performed. In practice based on:**
  - Skill and knowledge required for the engagement
  - Level of training and experience
  - Time
  - Level of IT required
  - Responsibility assumed by the auditor
- However, the final fee is determined on process of negotiation.

12.8. Contingent fees – para 330.4 A1 to 330.4 A4

Contingent fees might create threats to compliance with the fundamental principles, particularly a self-interest threat to compliance with the principle of objectivity, in certain circumstances.

Examples of Safeguards

- Having an appropriate reviewer who was not involved in performing the non-assurance service review the work performed by the professional accountant.
- Obtaining an advance written agreement with the client on the basis of remuneration.
  NB: Requirements for contingent fees in respect of audit and other assurance clients are dealt with under independence standards.

Referral fees – para 330.5 A1 to 330.5 A2

- A CA may be the recipient of a referral fee, which may create a self-interest threat to objectivity and professional competence and due care.
- **The CA should implement the following safeguards in such circumstances:**
  - Disclosing to the client in advance, in writing, any arrangements to receive a referral fee for referring the client to another CA;
  - Obtaining advance agreement in advance, in writing, from the client for commission arrangements in connection with the sale by a 3rd party of goods or services to the client.

12.9. Inducements, including gifts and hospitality – para 340.

- Gifts and hospitality offered to a CA or close family members from a client may create threats to compliance with the fundamental principles. For example, a self-interest threat or familiarity threat may be created if a gift from a client is accepted.

- The CA should therefore consider the following before accepting gifts from clients:
  - May not accept gifts of a significant nature/excessive
  - Ask yourself, what is the gift and is it of a token nature?
  - Evaluated in terms of nature, value and intent
  - Pen vs all expenses paid holiday
  - When in doubt, consider if it amounts to a bribe

12.10. Custody of client assets – para 350.1 to R350.5

- A CA shall not assume custody of client monies unless permitted to do so by law. They may be a self-interest threat to professional behaviour and a self-interest threat to objectivity arising from holding client assets.
- Before taking custody of client monies or assets a CA should:
  - Make inquiries about the source of the assets; and
  - Consider related legal and regulatory obligations.
- **A CA entrusted with money (or other assets) belonging to others shall:**
  - Keep such assets separately from personal or firm assets;
  - Use such assets only for the purpose for which they are intended;

- At all times, be ready to account for the assets and any income to any person entitled to such accounting; and
- Comply with relevant laws and regulations relevant to the holding of and accounting for such assets.

12.11. Responding to non-compliance with laws and regulations NOCLAR – para 360.1 to R360.40A1

A self-interest or intimidation threat to compliance with the principles of integrity and professional behaviour is created when a professional accountant becomes aware of non-compliance or suspected noncompliance with laws and regulations.

Categories of PAs in public practice

Section 360 distinguishes between two categories of PAs in public practice:

- Auditor / PAIPP engaged to perform an audit of financial statements
- PAIPP who provides professional services other than audits of financial statements

12.12. Steps to take when PA becomes aware of suspected or actual NOCLAR

	PA providing auditing services	PA providing other professional services
Step 1: Becomes aware of NOCLAR or suspected NOCLAR	First and foremost, the PAIPP must always comply with applicable laws and regulations, including those that impose a positive reporting obligation regarding NOCLAR, as well as those that may preclude reporting or prohibit the disclosure of confidential information. The PAIPP should consider firm policies and methodologies in determining how to respond, including escalating a matter within the engagement team and within the firm.	
	The auditor shall, parallel to his/her responsibilities under the Code, also comply with ISA 250 (Revised) (and other ISAs, as relevant to the audit) in performing the audit of financial statements.	The PA shall, parallel to his/her responsibilities under the Code, also comply with any other standards or pronouncements applicable to the given engagement, e.g. ISRE 2400 (Revised) in the case of performing a review of financial statements.
Step 2: Obtain an understanding of the matter	**Shall** obtain an understanding of the matter by understanding the: • Nature of the non-compliance; • Circumstances in which it has occurred; • Potential consequences of the NOCLAR for the employing organisation, investors, creditors, employees or the general public Apply knowledge, professional judgement and expertise;	**Shall seek to** obtain an understanding by understanding the: • Nature of the noncompliance; • Circumstances in which it has occurred; • Potential consequences of the NOCLAR for the employing organisation, investors, creditors, employees or the general public Apply knowledge, professional judgement and expertise; May decide to consult on a confidential basis with others within the firm or a professional body or with legal counsel.

	PA providing auditing services	PA providing other professional services
	May decide to consult on a confidential basis with others within the firm or a professional body or with legal counsel.	**"seek to obtain"** implies a lower level in terms of the extent of effort, compared to what is expected of a senior PAIB.
Step 3: Discuss the matter	• Discuss the matter with the appropriate level of management and, where appropriate TCWG. • Advises them to take appropriate and timely actions, if they have not already done so; and • Considers whether the client' management and TCWG understand their legal or regulatory responsibilities with respect to the NOCLAR.	• Discuss the matter with the appropriate level of management and, if the PA has access to them and where appropriate, TCWG. • If the PA is performing a non-audit service for a client whose financial statements are subject to an audit, the PA must also comply with paragraphs 360.31-33 of the Code.
Step 4: Determine whether further action is needed	Assess whether further action is needed in the public interest by considering the following: • The appropriateness of the response of management and, where applicable, TCWG; • Matters that characterise the nature, cause, circumstances and extent of the NOCLAR; • Take into account how a reasonable and informed third party would likely evaluate the NOCLAR and the PA's determination of the need for, and nature and extent of, further action After above assessment, reach a conclusion: • No further action is required. • Further action is required in the public interest. Proceed to step 5 and step 6 below.	Assess whether further action is needed in the public interest by considering the following: • The appropriateness of the response of management and, where applicable, TCWG; • Matters that characterise the nature, cause, circumstances and extent of the NOCLAR; After above assessment, reach a conclusion: • No further action is required. • Further action is required in the public interest. Proceed to step 5 and step 6 below.

	PA providing auditing services	PA providing other professional services
Step 5: If applicable, decide on further action.	Consider whether to: • Withdraw from the engagement and the professional relationship where permitted by law or regulation. • Disclose the matter to an appropriate authority even when there is no legal or regulatory requirement to do so.	Consider whether to: • Withdraw from the engagement and the professional relationship where permitted by law or regulation. • Disclose the matter to an appropriate authority even when there is no legal or regulatory requirement to do so.
Step 6: Documentation	• Comply with the documentation requirements under International Standards on Auditing (ISAs)). • In addition, document: ○ How management and, where applicable, TCWG have responded to the matter. ○ The courses of action the auditor considered, the judgements made and the decisions that were taken, having regard to the reasonable and informed third party perspective. ○ How the auditor is satisfied that he/she has fulfilled the responsibility set out in paragraph 360.20;	The PA is **encouraged** to have the following matters documented: • The matter • The results of discussions with management and, where applicable, TCWG and other parties. • How management and, where applicable, TCWG have responded to the matter. • The courses of action the PAIPP considered, the judgements made and the decisions that were taken. • How the PAIPP is satisfied that he/she has fulfilled the responsibility set out in paragraph 360.36;

13. PART 4 A- INDEPENDENCE FOR AUDIT AND REVIEW ENGAGEMENTS

13.1. Section 400: Independence – Audit and Review Engagements

A firm performing an audit engagement shall be independent of the client.

Independence comprises:

a) Independence of mind
The state of the mind that permits the expression of a conclusion without being affected by influences that compromise professional judgement, thereby allowing an individual to act with integrity and exercise objectivity and professional skepticism.

b) Independence in Appearance
The avoidance of facts and circumstances that are so significant that a reasonable and informed 3rd party would likely conclude, weighing all the specific facts and circumstances, that a firm's or a member of the audit team's integrity, objectivity or professional skepticism has been compromised.

The conceptual framework approach from Section 120 should be applied to:

a) Identify threats to independence;
b) Evaluate the significance of the threats identified; and
c) Apply safeguards, when necessary, to eliminate the threats or reduce them to an acceptable level.

For the purposes of section 400.8 Public **interest entities** are:

i. All listed entities (including related entities); and
ii. Any entity:
    a. Defined by regulation or legislation as a public interest entity; or
    b. For which the audit is required by regulation or legislation to be conducted in compliance with the same independence requirements that apply to the audit of listed entities.

Section	Heading	Threats	Requirements and Safeguards
410	Fees	The nature and level of fees or other types of remuneration might create a self-interest or intimidation threat. Normally arises from: • Fee dependency by the firm or a specific audit partner;	a) When audit fees being earned from a public interest entity is more that 15% of total firm revenue for two consecutive years: • Disclose that fact to those charged with governance; • Appoint an engagement quality control reviewer (to perform a pre or post issuance review) b) Overdue fees May create self-interest threat and if continued to be overdue for a long period, may need to determine whether the outstanding fees now constitutes a loan. Safeguards include: • Obtaining partial payment of overdue fees; • Appointing an EQCR; c) Contingent fees Contingent fees are fees calculated on a predetermined basis relating to the outcome of a transaction or the result of the services performed. • A firm **shall not charge** directly or indirectly a contingent fee for an audit engagement. • A firm or network firm shall not charge directly or indirectly a contingent fee for a non-assurance service provided to an audit client, if: - We are also responsible for providing audit services on the client's financial statements; - A network firm is responsible for the audit; - The outcome of the non-assurance work is dependent on the future outcome of work done as part of audit services.

Section	Heading	Threats	Requirements and Safeguards
			• Where permitted to charge contingent fees the following safeguards maybe appropriate: - Appointing an independent reviewer; - Having a written agreement with the client on the basis of charging fees;
411	Compensation and evaluation policies	A firm's evaluation or compensation policies might create a self-interest threat for example, an audit team member for an audit client is evaluated on or compensated for selling non-assurance services to that audit client.	Examples of actions that might eliminate such a self-interest threat include: - Revising the compensation plan or evaluation process for that individual. - Removing that individual from the audit team. Or where appropriate safeguard to reduce threat to an acceptable level: - having an appropriate reviewer review the work of the audit team member. **NB:** A firm shall not evaluate or compensate a key audit partner based on that partner's success in selling non-assurance services to the partner's audit client.
420	Gifts and hospitality	Accepting gifts and hospitality from an audit client might create a self-interest, familiarity or intimidation threat.	**NB:** A firm, network firm or an audit team member **shall not accept** gifts and hospitality from an audit client, unless the value is trivial and inconsequential.
430	Actual or threatened litigation	When litigation with an audit client occurs, or appears likely, self-interest and intimidation threats are created.	If the litigation involves an audit team member, an example of an action that might eliminate such self-interest and intimidation threats is removing that individual from the audit team.

Section	Heading	Threats	Requirements and Safeguards
			An example of an action that might be a safeguard to address such self-interest and intimidation threats is to have an appropriate reviewer review the work performed.
510	Financial Interests	Holding a financial interest in an audit client might create a self-interest threat.	A direct financial interest or a **material** indirect financial interest in the **audit client** shall not be held by: • The firm or a network firm; • An audit team member, or any of that individual's immediate family; • Any other partner in the office in which an engagement partner practices in connection with the audit engagement, or any of that other partner's immediate family; or • Any other partner or managerial employee who provides non-audit services to the audit client, except for any whose involvement is minimal, or any of that individual's immediate family. Financial Interests in an Entity Controlling an Audit Client are not permitted if the audit client is material to the controlling entity. Financial Interests in Common with the Audit Client are not permitted unless the financial interest is immaterial to the audit firm or audit team member.
511	Loans and Guarantees	A loan or a guarantee of a loan with an audit client might create a self-interest threat.	Loans and Guarantees with an Audit Client are not permitted unless the loan or guarantee is immaterial to the firm and the audit client.

Section	Heading	Threats	Requirements and Safeguards
			Loans and Guarantees with an Audit Client that is a Bank or Similar Institution are not permitted unless the loan or guarantee is made under normal lending procedures, terms and conditions.
520	Business Relationships	A close business relationship with an audit client or its management might create a self-interest or intimidation threat.	A firm, a network firm or an audit team member **shall not** have a close business relationship with an audit client or its management unless the business relationship is insignificant.
521	Family and personal relationships	Family or personal relationships with client personnel might create a self-interest, familiarity or intimidation threat.	A self-interest, familiarity or intimidation threat is created when an immediate family member of an audit team member is an employee in a position to exert significant influence over the client's financial position, financial performance or cash flows. Safeguards may include: • Removing the affected individual from the audit team; • Structuring the responsibilities of the audit team so that the audit team member does not deal with matters that are within the responsibility of the immediate family member. An individual shall not participate as an audit team member when any of that individual's immediate family: • Is a director or officer of the audit client; • Is an employee in a position to exert significant influence over the preparation of the client's accounting records or the financial statements on which the firm will express an opinion; or

Section	Heading	Threats	Requirements and Safeguards
			• Was in such position during any period covered by the engagement or the financial statements.
522	Recent service with an audit client	If an audit team member has recently served as a director or officer, or employee of the audit client, a self-interest, self-review or familiarity threat might be created.	The audit team shall not include an individual who, during the period covered by the audit report: • Had served as a director or officer of the audit client; or • Was an employee in a position to exert significant influence over the preparation of the client's accounting records or the financial statements on which the firm will express an opinion.
523	Serving as a director or officer of an audit Client	Serving as a director or officer of an audit client creates self-review and self-interest threats.	A partner or employee of the firm or a network firm **shall not** serve as a director or officer of an audit client of the firm. A partner or employee of the firm or a network firm **shall not serve** as Company Secretary for an audit client of the firm, unless: • This practice is specifically permitted under local law, professional rules or practice; • Management makes all relevant decisions; and • The duties and activities performed are limited to those of a routine and administrative nature, such as preparing minutes and maintaining statutory returns.
524	Employment with an audit client	Employment relationships with an audit client might create a self-interest, familiarity or intimidation threat. E.g	Examples of actions that might be safeguards to address such familiarity or intimidation threats include: • Modifying the audit plan. • Assigning to the audit team individuals who have sufficient experience relative to the individual who has joined the client.

Section	Heading	Threats	Requirements and Safeguards
		A former partner who has joined an audit client of the firm; or A former audit team member who has joined the audit client.	• Having an appropriate reviewer review the work of the former audit team member.
525	Temporary personnel assignments	The loan (secondments) of personnel to an audit client might create a self-review, advocacy or familiarity threat.	Safeguards would include: • Conducting an additional review of the work performed by the loaned personnel might address a self-review threat. • Not including the loaned personnel as an audit team member might address a familiarity or advocacy threat. • Not giving the loaned personnel audit responsibility for any function or activity that the personnel performed during the loaned personnel assignment might address a self-review threat.
540	Long association of personnel (including Partner rotation) with an audit client	When an individual is involved in an audit engagement over a long period of time, familiarity and self-interest threats might be created.	General safeguards include: • Changing the role of the individual on the audit team or the nature and extent of the tasks the individual performs. • Having an appropriate reviewer who was not an audit team member review the work of the individual. • Performing regular independent internal or external quality reviews of the engagement. In respect of an audit of a **public interest entity**, an individual shall not act in any of the following roles, or a combination of such roles, for a period of more than **seven cumulative years** (the "time-on" period): • The engagement partner; • The individual appointed as responsible for the engagement quality control review; or • Any other key audit partner role.

Section	Heading	Threats	Requirements and Safeguards
			If the individual acted as the engagement partner for seven cumulative years, the cooling-off period shall be **five consecutive years**. Where the individual has been appointed as responsible for the **engagement quality control review** and has acted in that capacity for seven cumulative years, the cooling-off period shall be **three consecutive years.**
600	Provision of non-assurance services to an audit Client	Providing non-assurance services to audit clients might create threats to compliance with the fundamental principles and threats to independence.	**Management responsibilities** • A firm or a network firm shall not assume a management responsibility for an audit client. • Refer to 600.7 A3 for activities that would be considered management responsibility
601	Accounting and bookkeeping Services	Providing accounting and bookkeeping services to an audit client might create a self-review threat.	Accounting and bookkeeping services comprise a broad range of services including: • Preparing accounting records and financial statements. • Recording transactions. • Payroll services. A firm or network firm is not permitted to provide accounting and bookkeeping services including preparing financial statements, to a Public Interest Entity unless: • The services are of a routine or mechanical nature; and • The firm addresses any threats that are created by providing such services that are not at an acceptable level. • Examples of safeguards:

Section	Heading	Threats	Requirements and Safeguards
			- Using professionals who are not audit team members to perform the service. - Having an appropriate reviewer who was not involved in providing the service review the audit work or service performed. Audit Clients that are Public Interest Entities **not permitted** to provide accounting and bookkeeping services including preparing financial statements.
602	Administrative services	Providing administrative services to an audit client does not usually create a threat.	Examples of administrative services include: - Word processing services. - Preparing administrative or statutory forms for client approval. - Submitting such forms as instructed by the client. - Monitoring statutory filing dates and advising an audit client of those dates.
603	Valuation services	Providing valuation services to an audit client might create a self-review or advocacy threat.	A firm or a network firm shall not provide a valuation service to an audit client that is **not a public interest** entity if: - The valuation involves a significant degree of subjectivity; and - The valuation will have a material effect on the financial statements on which the firm will express an opinion. A firm or a network firm **shall not provide** a valuation service to an audit client that is **a public interest entity** if the valuation service would have a material effect, individually or in the aggregate, on the financial statements on which the firm will express an opinion.
604	Tax services	Providing tax services to an audit client might create a self-review or	Tax services comprise a broad range of services, including activities such as:

Section	Heading	Threats	Requirements and Safeguards
		advocacy threat.	- Tax return preparation. - Tax calculations for the purpose of preparing the accounting entries. - Tax planning and other tax advisory services. - Tax services involving valuations. - Assistance in the resolution of tax disputes. Tax return preparation for audit clients are generally permitted; Preparing calculations of current and deferred tax liabilities (or assets) for a **non-Public interest audit** client for the purpose of preparing accounting entries are permitted subject to: - Using professionals who are not audit team members to perform the service. - Having an appropriate reviewer who was not involved in providing the service review the audit work or service performed A firm or a network firm shall not prepare tax calculations of current and deferred tax liabilities (or assets) for an audit client that is **a public interest entity** for the purpose of preparing accounting entries. A firm or a network firm **shall not** provide tax planning and other tax advisory services to an audit client when the effectiveness of the tax advice depends on a particular accounting treatment or presentation in the financial statements. A firm or a network firm shall not provide tax services that involve assisting in the resolution of tax disputes to an audit client if:

Section	Heading	Threats	Requirements and Safeguards
			- The services involve acting as an advocate for the audit client before a public tribunal or court in the resolution of a tax matter; and - The amounts involved are material to the financial statements on which the firm will express an opinion.
605	Internal Audit services	Providing internal audit services to an audit client might create a self-review threat.	A firm or a network firm shall not provide internal audit services to an audit client that is a public interest entity, if the services relate to: - A significant part of the internal controls over financial reporting; - Financial accounting systems that generate information that is, individually or in the aggregate, material to the client's accounting records or financial statements on which the firm will express an opinion; or - Amounts or disclosures that are, individually or in the aggregate, material to the financial statements on which the firm will express an opinion.
609	Recruiting services	Providing recruiting services to an audit client might create a self-interest, familiarity or intimidation threat.	When providing recruiting services to an audit client, the firm or the network firm shall not act as a negotiator on the client's behalf. A firm or a network firm shall not provide a recruiting service to an audit client if the service relates to: - Searching for or seeking out candidates; or - Undertaking reference checks of prospective candidates, with respect to the following positions: o A director or officer of the entity; or o A member of senior management in a position to exert significant influence over the preparation of the client's accounting records or the financial statements on which the firm will express an opinion.

14. PART 4B – INDEPENDENCE FOR ASSURANCE ENGAGEMENTS OTHER THAN AUDIT AND REVIEW ENGAGEMENTS.

14.1. 900 Applying the conceptual framework to independence for assurance engagements other than audit and review engagements.

This part applies to assurance engagements other than audit and review engagements. Examples of such engagements include

- An audit of specific elements, accounts or items of a financial statement
- Performance assurance on a company's key performance indicators.

ISQC 1 requires a firm to establish policies and procedures designed to provide it with reasonable assurance that the firm, its personnel and where applicable, others subject to independence requirements maintain independence where required by relevant ethics standards.

Independence is linked to the principles of objectivity and integrity, comprising of

a) Independence of mind and
b) Independence in appearance

Network firms – when a firm has reason to believe that interests and relationships of a network firm create a threat to the firm's independence the firm shall evaluate and address any such threat.

Related entities – when the assurance team knows or has reason to believe that a relationship or circumstance involving a related entity of the assurance client is relevant to the evaluation of the firm's independence, from the client, the assurance team shall include that related entity when identifying, evaluating and addressing threats to independence.

Period which independence is Required

- The engagement period; and
- The period covered by the subject matter information

Threats to independence are created if a non- assurance service was provided to the assurance client during, or after the period covered by the subject matter information, but before the assurance team begins to perform assurance services and the service would not be permitted during the engagement period.

Examples of actions that might be safeguards to address such threats include:

- Using professionals who are not assurance team members to perform the service
- Having an appropriate reviewer review the assurance and non-assurance work as appropriate

You will need the following sections from the CPC directly

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Section 905: Fees

Section 906: Gifts and Hospitality

Section 907: Actual of Perceived Litigation

Section 910: Financial interests

Section 911: Loans and guarantees

Section 920: Business relationships

Section 921: Family and personal relationships

Section 922: Recent service with an assurance client

Section 923: Serving as a director or officer of an assurance client

Section 924: Employment with an assurance client

Section 940: Long association with an assurance client

Section 950: Provision of non-assurance services to assurance clients

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15. Question on the code of professional conduct

Swinte Limited

You have recently been appointed as an audit manager at Matohwe Chartered Accountants (MCA) a relatively large audit firm with branches all over Zimbabwe. The firm services assurance, as well as non-assurance clients, within a wide variety of diverse industries. Having recently qualified as a CA (Z) and completed your three year period of traineeship at the firm, you are extremely excited about your new position within management. You have been assigned to the audit of Swinte Ltd (SL) a company listed on the Zimbabwe Stock Exchange (ZSE) and is a new audit client of MCA.

SL is Zimbabwe's largest shipping, transport and logistics operator with depots all over the country. Sevenzai Winite a charismatic lawyer with an entrepreneurial spirit founded SL more than forty years ago. He has grown SL from a small business with just two trucks to the large listed entity it is today, he is also the CEO and major shareholder with a holding of 45%. SL has a 31 December year-end.

The SL audit is a major win for MCA and the partners have instructed that you exercise the outmost due care in performing the 2021 year end audit as they cannot afford anything going wrong. As part of the audit you have been given the audit file for preliminary review by the audit senior on the job.

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EXTRACT OF THE MINUTES OF THE PLANNING MEETING

In attendance was the audit senior, partner, one of the clerks on the audit and yourself. The opening remarks were given by the partner, Mary Ndaneta who welcomed everyone to the meeting and announced that the other team members were unable to be part of the meeting due to other work commitments. The following matters were discussed during the meeting.

New Client

Mary expressed her excitement to be assigned as audit partner on the audit of SL as it was her first time to be engagement partner of a listed company. She explained that the partner who has been assigned to be the quality control reviewer was currently too busy with other high risk clients and was therefore unable to attend the meeting and also would not have a lot of time to look at their audit file. Mary saw this as an opportunity to shine and prove that she was good at her job. She informed the meeting that she would use her experience in auditing companies in the transport sector.

The Audit Engagement

Mary informed the team that not much work was needed to be carried out to accept SL as a client as everyone knew about the company from childhood since SL had been in operation for more than forty years. The only assessment that had been done was to speak to the predecessor auditor, TKF Chartered Accountants to find out if SL had been a problem in paying audit fees. MCA's major concern was that SL might be unable to pay audit fees. Mary had told the team members that in this economy it did not make sense to charge audit fees based on the traditional considerations since the way of doing business is changing and it was important to charge clients based on willingness and ability to pay. For this reason SL would fork out a handsome amount since they are able to pay a higher fee for the audit being provided by MCA.

There would be no early testing at an interim date for the year end audit for SL despite it being firm policy to have one for listed clients, this was due to unavailability of staff as they had other client commitments. Mary said she would make a plan to source more personnel for the year end audit even if it meant taking the cleaners and messengers from each office to assist with the audit. She said no one would ask her why she would use non-technical staff because she had seen senior partners doing the same in the past for their clients and as long as she was keeping costs low no one would care.

Mary advised that she was planning her wedding and would be going for her honeymoon in February. She then told you that she would be delegating most of her work to you because she trusts you as a CA (Z). However, she said she would make sure the audit was finalized before she left even if it meant burning the mid night oil every day for the duration of the audit, "*there would be plenty of time to rest after death*". She then made you promise not to let her down as this was an important audit to her.

Other non-audit work

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Mary announced that SL was also going to be receiving other services from MCA and was going to become one of their highest paying clients. She then emphasized the importance of not being overzealous on the audit by being all fussy and technical over issues that would disappoint SL's management. They had to look at the bigger picture, SL was going to give their tax and accounting departments a lot of work worth a material amount to the firm.

SL would need assistance in changing some of its accounting policies as it wanted to be more in line with other industry players so as to enable better comparison of financial performance. The accounting department was going to be responsible for assisting in the preparation of the annual financial statements to ensure full compliance with IFRS especially IAS 8 taking into account possible changes in accounting policies. SL had also asked MCA to assist with the year-end inventory count at all its depots since its employees would be having their Christmas party on the same day. The arrangement was to bring some of the audit and accounting staff to help with the counting in order to speed up the process.

The tax department was going to be responsible for computation of all tax returns of SL and a first-year trainee would be assigned to be responsible for that work. There was a pending matter with ZIMRA over some expenses worth over $50 000 which had been disallowed during last year's tax assessment. SL had asked MCA's tax department to handle the matter on their behalf and to make sure that at least $35 000 had been allowed. Mary said that since she had been the highest in her tax exam, she would actively work with the tax department on the matter.

Mary said she was very pleased to tell them that she would make sure that if they did a good job on the audit, she would ensure that they would all get a thirteenth cheque. This would be made possible because SL had asked MCA to hold $250 000 on its behalf which it would use to pay out a dividend six months later. MCA had a trust account in which it kept funds on behalf of clients that required such a service. Mary told them that MCA would use the interest earned from that money to pay their bonuses. If they needed personal loans, she would facilitate that they could get them from the $250 000, this would not be a problem because the money would be repaid before SL needs it back.

The meeting had to be adjourned early because Mary got a call from her wedding planner informing her that her wedding gown had just arrived from the USA, and she needed to try it on. Mary then told you to set up another meeting next time with all staff on the audit being present.

Required

a) Discuss any ethical and other concerns arising from the review of the Extract of minutes of the planning meeting and provide the actions that MCA can take to address these concerns. **20 marks** **CAA CTA Part-time MY exams adapted**

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Solution

1. Ethical concerns and other concerns and actions that can be taken.

Ethical concern	Action that can be taken
It appears that MCA did not follow proper client acceptance procedures as required by ISQC1 thereby breaching fundamental principle of professional competence and due care due to the following: **1 mark** • Not enough client investigation was conducted before accepting SL as an audit client as Mary told the team not to carry out much work as everyone was assumed to have knowledge of the company from childhood. **1 mark** • No consideration appears to have been given to the fact that Mary, as the audit partner had not audited a listed company before and hence has no experience to audit such a company. **1 mark** • Mary delegated all the audit work to me when I do not have the relevant experience indicating no consideration was given whether there are adequate resources to perform the audit. **1 mark** • Mary had accepted the audit engagement despite having concerns about SL's inability to pay audit fees. **1 mark** • Mary was willing to include cleaners and messengers who do not have the technical knowledge, skills and experience to perform an audit. **1 mark**	▪ The firm leadership should relook at the firm's policies on client acceptance and consider whether they meet the requirements in ISQM. **1 mark** ▪ As a mitigatory measure the work that I performed should be subjected to a detailed review. **1 mark**
You were requested to exercise the utmost due care on the performance of the SL audit, which may indicate that this same principle is not being applied to all of the firm's audit engagements. **1 mark**	SL should have polices that ensure staff exercise the utmost due care on all audit engagements. **1 mark**
Audit fees SL was to become one of MCA's highest paying clients. This creates a self-interest threat to independence, objectivity and professional competence as MCA is interested in earning these audit fees. This is also supported by the fact that Mary instructed her team members not to be too	MCA should assign an Engagement Quality Reviewer (EQR). **1 mark** MCA should review its policies on the determination of audit fees, so that the fee they charge is reflective of the amount of time required and expertise required on the audit amongst other considerations. **1 mark**

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technical about issues that may disappoint management. **2 marks** Also threats to professional competence and due care and integrity are created given the fact that MCA will be charging audit fees based on the ability of SL to pay. MCA went on to charge a higher fee than required based on the fact that SL could afford it. **2 marks**	
Non-audit services Mary accepted the provision of non-audit services (computation of tax returns, assist in changing some accounting policies, performance of stock count) after having accepted an audit engagement for the audit of SL. This creates self-review threats to professional competence and due care and is specifically not allowed for a listed entity client. **2 marks**	Engage different teams for audit and non-audit services (however this may not be practical as evidenced by Mary's willingness to include cleaners and messengers in the audit engagement). **1 mark** Decline the offer for MCA to assist in the updating of SL's accounting policies and performance of year end stock count as the threat is too significant to be addressed through applying safeguards. **1 mark**
Performance of tax work Handling the tax matter in which SL requested MCA to make sure that $35,000 of the $50,000 disallowed by ZIMRA should be allowed as expenses for tax purposes may create a self-interest threat to professional competence and due care as the team might seek illegal ways of having the expenses allowed as a deduction. **2 marks** Also, the assignment of a 1st year trainee to compute SL tax returns create threats to professional competence and due care as the trainee may not have the requisite experience and expertise to do this work**. 1 mark**	▪ The work done on the dispute with ZIMRA must be subject to a detailed review to ensure that all the advice provided is within the requirements of the tax laws. **1 mark** ▪ Also, the work performed by the 1st year trainee should be reviewed by a senior person within MCA's tax department. **1 mark**
Client Monies Mary has made plans without SL's permission to utilize clients' funds to give them as loans to MCA staff and repaying them without SL having to know about it. However, these are funds that they are keeping custody of on behalf of the clients. This results in a breach of the fundamental principle of integrity. **2 marks**	MCA should put in place a strong policy to safeguard the use of clients' assets without their prior approval. **1 mark**

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Mary decided to adjourn the meeting in order to attend her personal issues before all the planning issues had been addressed which create a threat to professional competence and due care. **1 mark**	
Total Available	**29 marks**

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